IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH (COURT– I) CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **12.06.2025** THROUGH VIDEO CONFERENCE

PRESENT: HON'BLE SHRI. SANJIV JAIN, MEMBER (JUDICIAL)
HON'BLE SHRI VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

Application No	:	CA(CAA)/69(CHE)/2024
Petition No	:	CP(CAA)/20(CHE)/2025
Name of Petitioner & Name of Respondent	:	Thriveni Earthmovers Pvt Ltd and Other
Section	:	230-232 of CA, 2013

ORDER

CA(CAA)/69(CHE)/2024
CP(CAA)/20(CHE)/2025

Present: Mr. Ashwin Raman, Ld. Counsel for Petitioners.

Vide separate Order pronounced in Open Court, the **Scheme is approved**.

File be consigned to records.

-sd-
[VENKATARAMAN SUBRAMANIAM]
MEMBER (TECHNICAL)

-sd-
[SANJIV JAIN]
MEMBER (JUDICIAL)

MS

Date: 12.06.2025

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP(CAA)/20(CHE)2025 in CA(CAA)/69(CHE)2024

(Under Sections 230 to 232 of the Companies Act, 2013)

In the matter of *Scheme of Arrangement (Demerger) between*

THRIVENI EARTHMOVERS PRIVATE LIMITED
CIN No.: U60231TZ1999PTC008876
Having its registered office at
22/110, Greenways Road, Fairlands,
Salem – 636 016, Tamil Nadu.

… Petitioner Company No.1/Demerged Company

THRIVENI EARTHMOVERS AND INFRA PRIVATE LIMITED
CIN No.: U07100TZ2024PTC030673
Having its registered office at
22/110, Greenways Road, Fairlands,
Salem – 636 016, Tamil Nadu.

… Petitioner Company No.2/Resulting Company

And their Respective Shareholders and Creditors

Order Pronounced on ***12th June, 2025***

CORAM

SANJIV JAIN, MEMBER (JUDICIAL)
VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

Present: *For Petitioners: Mr. Pawan Jhabakh, Advocate*
For Regional Director: Mr. Avinash Krishnan Ravi, Advocate
For IT Department: Ms. Sangarika, Advocate

O R D E R

1. The hearing of this Company Petition has been conducted through hybrid mode.

2. This Company Petition has been filed by **Thriveni Earthmover Private Limited** (*Petitioner Company No.1 /Demerged Company)* and **Thriveni Earthmover and Infra Private Limited** (*Petitioner Company No.2 /Resulting Company)* for approval of the Scheme of Arrangement under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules'), in pursuant to the Scheme proposed by the Petitioner Companies (hereinafter referred to as the 'SCHEME'). The Scheme is annexed as **Annexure A1** at ***"Page No.19-43"*** of the Company Petition typeset i.e., **CP(CAA)/20(CHE)/2025**.

3. **RATIONALE OF THE SCHEME**

It is stated that the demerger of the Mine Development Operator Business of TEMPL and the vesting of the same into TEIPL shall inter alia achieve the following benefits:

(i) Provides a higher degree of flexibility to evaluate independent business opportunities as well as attract the right set of investors, strategic partners, lenders and other stakeholders;

(ii) Value unlocking for the shareholders;

(iii) Focused strategy, management bandwidth and attention to execute the business's independent vision;

(iv) Enhanced focus on operations of the Mine Development Operator Business by more efficient management control and outlining independent growth strategies.

4. **1ST MOTION APPLICATION – IN BRIEF**

4.1. The Petitioner Companies had filed First Motion Application vide CA(CAA)/69/(CHE)/2024 seeking directions as follows:

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS	UNSECURED TRADE CREDITORS
DEMERGED COMPANY	Dispense with Meeting	To Convene meeting	To Convene meeting	Convene meeting
RESULTING COMPANY	Dispense with meeting	NA	NA	NA

4.2. On the application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide order dated ***24th January, 2025*** dispensing the meetings of the Equity Shareholders of

Demerged Company and Resulting Company and Convening meeting of the Secured Creditors, Unsecured Creditors and Unsecured Trade Creditors of the Demerged Company. Further, the Demerged Company were ordered to convene meetings for Secured Creditors, Unsecured Creditors and Unsecured Trade Creditors on **22.03.2024** at **10AM, 11AM, 12AM** respectively. at the Registered Office of the Demerged Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal. This Tribunal appointed Mr. Raymond Albyness F, (Mob: 9677172756)), as the Chairperson and Mr. G.S Sudhir (Mob: 94455 03208) as the Scrutinizer.

4.3 Pursuant to the order dated 24.01.2025, the Chairperson filed his report on 24.03.2025.

4.4 The Petitioners then filed the Second Motion Petition on 29.03.2025 for approval of the Scheme.

5. In the Second Motion Petition filed by the Petitioner Companies, this Tribunal vide order dated **23.04.2025** directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Central Government through the office of Regional Director (Southern Region),Chennai (ii) Registrar of Companies, concerned, MCA, (iii) the jurisdictional Income Tax having jurisdiction over the respective companies indicating specially their permanent Account Number (PAN) in the

communication with the copy of Chief Commissioner of Income Tax Office, who govern the working of the respective companies, as well as for paper publication to be made in **Business Standard** (English, All India Edition) and **Dina Thanthi** (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies filed the affidavit of service vide SR No.1979 dated 27.05.2025**.** A perusal of the same discloses that the Petitioner Companies effected the paper publications as directed by the Tribunal in "Business Standard", (English, All India Edition) and "Dina Thanthi" Tamil (Tamil Nadu Edition) on 03.05.2025. It is also seen that notices were also served to.

Thriveni Earthmovers Private Limited:

S.No	Statutory authorities	Date of Notice
1.	Regional Director, Southern Region, Chennai	30.04.2025
2.	Registrar of Companies, Coimbatore	30.04.2025
3.	The Principle Chief Commissioner of Income Tax	30.04.2025
4.	The Deputy Commissioner of Income Tax	30.04.2025
5.	The Commissioner of GST & Central Excise	30.04.2025
6.	The Deputy Commissioner (State Tax) Commercial Tax Department (Andhra Pradesh)	05.05.2025

7.	The Deputy Commissioner of Commercial Tax (Karnataka)	Returned to sender
8.	The Joint Commissioner of State Tax (Jharkhand)	16.05.2025
9.	The Joint Commissioner of State Tax (Goa)	05.05.2025
10.	The Joint Commissioner of State Tax (Maharashtra)	05.05.2025
11.	The Deputy Commissioner, CGST & Central Excise (Odisha)	05.05.2025

Thriveni Earthmovers and Infra Private Limited:

S.No	Statutory authorities	Date of Notice
1.	Regional Director, Southern Region, Chennai	30.04.2025
2.	Registrar of Companies, Coimbatore	30.04.2025
3.	The Principle Chief Commissioner of Income Tax	30.04.2025
4.	The Deputy Commissioner of Income Tax	30.04.2025
5.	The Deputy Commissioner of GST & Central Excise (Salem)	30.04.2025
6.	The Deputy Commissioner of GST & Central Excise (Hasthampatty Circle)	30.04.2025
7.	The Deputy Commissioner of GST & Central Excise (Odisha)	05.05.2025

Proof of the same by way of affidavits have been enclosed. Pursuant to the service of notice of the petition, following statutory authorities have responded as follows:

7.1 REGIONAL DIRECTOR

7.1 The Regional Director, Southern Region *(hereinafter referred to as 'RD')* Chennai has filed his Report vide SR No.2005 on ***28.05.2025***.

7.2 It is stated by the RD that, after examining the scheme, he has decided not to make any objection to the Scheme of Demerger and has left it to this Tribunal to pass order on merits.

7.3 The Petitioner Company has stated that the petitioners undertake to comply with the provisions contained under Section 230-232 of the Companies Act,2013 as observed by the RD in its report at Para 11. An extract of the Daily Order dated 28.05.2025, reflecting the said undertaking, is reproduced hereinbelow.

ORDER

CP(CAA)/20(CHE)/2025

Present: Mr. P.H.Arvindh Pandian, Ld. Senior Counsel along with
Mr. Pawan Jhabakh for Petitioner.
Mr. Avinash Krishnan Ravi, Ld. Counsel for RD.
Ms. Sangarika, Ld. Counsel for IT Department.

RD report is stated to be e-filed. **Registry is directed to accept the hard copy.**

Registry is also directed to accept the reply of the IT Department, copy of which has already been served on the Counsel for the Petitioner.

Report of the GST Department also received in sealed cover.

Affidavits e-filed by the Petitioner in response to the observations raised by the GST Departments and the IT Department.

Ld. Counsel for Petitioner on instructions submits that the Petitioner undertakes to comply with the provisions contained under Section 230-232 of the Companies Act, 2013 as observed by the RD in its Report at para 11.

8. OTHER STATUTORY AUTHORITIES

8.1 DEPARTMENT OF INCOME TAX:

8.1.1 The Assistant Commissioner of Income Tax, Central Circle, Salem has filed the objections through a memo stating that the memo is based on the letter dated 19.05.2025. It is stated that there are various demands outstanding for various assessment years against the First Petitioner company:

S.No.	A.Y	Amount
1	2024-25	Rs. 92,840/-
2	2022-23	Rs. 78,690/-
3	2019-20	Rs. 4,35,51,951/-
4	2014-15	Rs. 25,320/-

8.1.2 It is stated by filing the Memo and the report of the Assessing officer, the Income Tax Department has not waived its rights to undertake the proceedings under the Income Tax Act, 1961.

8.1.3 Reliance has been placed on the judgment of the Supreme Court in ***Marshall Sons & Co India Ltd Vs Income Tax Officer (AIR1997SC1763 & MANU/SC/0407/1997)***, wherein the Hon'ble Court has held in para 17 as under:

> *"We, however, make it clear that we have not expressed any opinion on the plea of the learned Counsel for the Revenue that the amalgamation itself is a device designed to evade the taxes legitimately payable by the subsidiary company. If the Income Tax authorities think that, they are entitled to raise this question in the proceedings under the Income Tax Act, it is open to them to do so by way of a separate proceeding according to law." (emphasis is ours)*

It is stated that in light of the above judgement, the Income Tax Department reserves its right to proceed against the Petitioner Companies through independent proceedings under the provisions of the Income Tax Act. It is reiterated that filing of the present memo shall not in any manner amounts to waiving its rights to proceed against the Petitioner Companies.

8.1.4 The Petitioner Companies has filed an Affidavit in reply to the objections of the Income Tax Department vide SR No.2002 dated 28.05.2025. In the said Affidavit, the Petitioner Companies have submitted as follows:

(a) That with respect to the tax demands for Assessment Years (AYs) 2014–15, 2022–23, and 2024–25, it is submitted that the Demerged Company is entitled to tax refunds amounting to ₹11.82 Crores for AYs 2015–16, 2016–17, 2019–20, 2020–21, and 2021–22, based on rectification petitions filed under Section 154 of the Income-tax Act, 1961, before the jurisdictional Assessing Officer. It is further submitted that the demands raised for earlier years may be adjusted against such refunds due to the Demerged Company.

(b) In relation to AY 2019–20, it is submitted that the demand of ₹4.35 Crores has arisen on account of mistakes apparent from the record. Rectification applications have been submitted both through the Income Tax e-filing portal and directly before the jurisdictional Assessing Officer. Upon due rectification, a refund of ₹2.34 Crores would become payable to the First Petitioner Company.

8.1.5 The Petitioner Companies have also drawn attention to the relevant provisions of the Scheme, particularly Clause 5 (relating to the demerger and vesting of the Demerged Undertaking) and Clause 11.2 (relating to the treatment of taxes), which are extracted herein below for reference:

"5. DEMERGER OF THE DEMERGED UNDERTAKING AND VESTING OF THE SAME IN THE RESULTING COMPANY

5.1 Upon coming into effect of this Scheme, and with effect from the Appointed Date, all debts (whether in Indian Rupees or foreign currency), liabilities, including, without limitation, all secured and unsecured debts, debt securities, debentures and other instruments of like nature (whether convertible into equity shares or not), sundry creditors, contingent liabilities (including corporate guarantees, letter of comfort or any other similar non-fund based facilities), duties, obligations and undertakings of the Demerged Company in relation to the Demerged Undertaking, whether arising in the past, present or future, of every kind, nature and description whatsoever and howsoever arising, raised, incurred or utilized for business activities and operations, whether provided for or not in the books of account or disclosed in the balance sheet of the Demerged Company, shall, pursuant to the sanction of this Scheme by the NCLT, as the case may be, and under the provisions of Sections 230 to 232 and other applicable provisions, if any, of the Act, without any further act, instrument, deed, matter or thing being made, done or executed, be transferred to, and vested in, or be deemed to have been transferred to and vested in the Resulting Company so as to become, as on and from the Appointed Date, the liabilities, debts, sundry creditors, contingent liabilities, duties and obligations of the Resulting Company on the same terms and conditions as were applicable to the Demerged Company. The Resulting Company shall meet, discharge and satisfy the liabilities and it shall necessary to obtain the consent of any third party or other person who is to any contract or arrangement by virtue of which such liabilities have risen in order to give effect to the provisions of this clause."

11. TREATMENT OF TAXES OF THE DEMERGED UNDERTAKING

11.2 "Any tax liabilities under the Income-tax Act, 1961, Wealth Tax Act, 1957, Customs Act, 1962, Central Excise Act, 1944, Central Sales Tax Act, 1956, any other state Sales Tax / VAT laws, Chapter V of Finance Act, 1994, IGST, CGST, any SGST, The Goods and Services Tax (Compensation to States) Act, 2017, stamp laws or other Applicable Laws / regulations (hereinafter in this clause referred to as "Tax Laws") dealing with taxes/duties/levies allocable or related to the Demerged Undertaking of the Demerged Company to the extent not provided for or covered by tax provision in the accounts made as on the date

immediately preceding the Appointed Date shall be transferred to Resulting Company."

8.1.6 It is stated that upon the Scheme being sanctioned by the Tribunal and becoming effective, any crystallised Income tax liabilities of First Petitioner Company (i.e. Thriveni Earthmovers Private Limited Demerged Company) pertaining to the Demerged Undertaking as on the Appointed Date shall be treated as the liabilities of Thriveni Earthmovers and Infra Private Limited (i.e. Resulting Company) and Thriveni Earthmovers and Infra Private Limited (i.e. Resulting Company) shall meet, discharge, and satisfy such income tax liabilities in full, as if they were its own liabilities.

8.2 GST & CENTRAL EXCISE DEPARTMENT:

A. KEONJHAR DIVISION

8.2.1 GST & Central Excise Department has submitted a letter dated 26.05.2025 stating that the First Petitioner company has liabilities due to the government (mentioned in **Annexure A**). It is requested to transfer the liabilities mentioned in Annexure A to the new company i.e. Second petitioner Company and to appear before the adjudicating authorities against the cases where adjudication order is yet to be issued.

8.2.2 The Department has sent another letter on 27.05.2025 in continuation with the previous letter after the Petitioner Company sent a clarification

w.r.t. the liabilities mentioned in Annexure A. It is stated that the submissions were taken into consideration and the Annexure A has been modified accordingly.

8.2.3 It is stated that Annexure A constitutes of liabilities (Orders-in-Original) which includes cases against which Petitioner Company has preferred appeal before the appellate forums such as Addl. Commissioner (Appeals), CESTAT, High Court and contingent liabilities (SCN pending for adjudication). The data has been submitted through revised Annexure A. Extract of Revised Annexure A is herein below:

ANNEXURE-A

Sl.No.	OIO / SCN and date	Duty	Duty Dropped	Duty Appropriated	Net Duty Payable	Penalty	Interest	Interest appropriated	Total payable				Status of the case
									Duty	Penalty	Interest	Total	
1	OIO- 33/AC-DC/GST/K./R/2024-25 dated 27.08.2024	22,98,266	-	-	22,98,266	22,98,266	At appropriate rate till the time of payment	-	22,98,266	22,98,266	-	45,96,532	Pending in Appeal with 10% pre-deposit before ADC(A), Bhubaneswar
2	OIO- 34/AC-DC/GST/K./R/2024-25 dated 28.08.2024	20,80,342	-	-	20,80,342	2,16,633	At appropriate rate till the time of payment	-	20,80,342	2,16,633	-	22,96,975	Pending in Appeal with 10% pre-deposit before ADC(A), Bhubaneswar
3	OIO- 49/AC-DC/GST/K./R/2023-24 Dated 26.12.2023	75,74,243	8,45,281	-	66,28,962	7,57,424	At appropriate rate till the time of payment	-	66,28,962	7,57,424	-	73,86,386	
4	OIO- 01/ST/PC/ST/ADC/A-II/2025 dated 21.01.2025	2,32,902	-	-	-	2,32,902	At appropriate rate till the time of payment	-	2,32,902	2,32,902	-	4,65,804	Pending in Appeal with 10% pre-deposit before ADC(A), Bhubaneswar
5	OIO- 12/CGE/S.TAX/RKL/2017-18 Dated 20.12.2017	79,98,80,518	35,70,438	8,41,50,360	71,21,59,711	79,98,80,518	At appropriate rate till the time of payment	-	71,21,59,711	79,98,80,518	-	1,51,20,50,229	Pending before CESTAT (Appeal) with pre-deposit
6	OIO 15/ADC-JC/GST/RKL/2023-24 dated 26.10.2023 BY ADC, RKL	13,29,98,335	-	-	-	1,32,99,034	At appropriate rate till the time of payment	-	13,29,98,335	1,32,99,034	-	14,62,98,369	Interim Stay granted by the Hon'ble Odisha HC WP NO 14104/2024
7	SCN vide letter F. No. V(15)Aadit/01-1 /GST/Angul/2829/7276-A dated 21.06.2023 issued by the Joint Commissioner (In-situ) (Audit), GST and Central Excise, Angul Audit Circle, Audit		-	-	-	-	1,70,80,723	-	-	-	1,70,80,723	1,70,80,723	Interim Stay granted by the Hon'ble Odisha HC WP NO 21629/2023
8	SCN IGE(COM)ADJN/GST/JC/1440/2025 dated 22.05.2025, issued by Joint Commissioner, CGST & Cex., Rourkela Commissionerate	10,67,79,379	-	-	10,67,79,379	-	-	-	10,67,79,379	-	-	10,67,79,379	Pending adjudication
9	SCN IGE(COM)ADJN/GST/JC/143/2025 dated 23.05.2025, issued by Joint Commissioner, CGST & Cex., Rourkela Commissionerate	12,36,06,804	-	-	12,36,06,804	-	-	-	12,36,06,804	-	-	12,36,06,804	Pending adjudication
10	SCN No 01/2025 dated 07.05.2025 issued by AC, Keonjhar Division	1,42,82,816	-	-	1,42,82,816	-	-	-	1,42,82,816	-	-	1,42,82,816	Pending adjudication
11	SCN No 02/2025 dated 07.05.2025 issued by AC, Keonjhar Division	55,65,736	-	-	55,65,736	-	-	-	55,65,736	-	-	55,65,736	Pending adjudication
12	SCN No ZD210525087775 Dated 14.05.2025, issued by AC, Angul Audit Circle	1,58,01,336	-	-	1,58,01,336	-	-	-	1,58,01,336	-	-	1,58,01,336	Pending adjudication
13	SCN No ZD210525088883R Dated 14.05.2025, issued by AC, Angul Audit Circle	1,36,14,742	-	-	1,36,14,742	-	-	-	1,36,14,742	-	-	1,36,14,742	Pending adjudication
14	SCN No ZD210525088836L Dated 14.05.2025, issued by AC, Angul Audit Circle	47,15,906	-	-	47,15,906	-	-	-	47,15,906	-	-	47,15,906	Pending adjudication
15	SCN No ZD210525088819 Dated 14.05.2025, issued by AC, Angul Audit Circle	35,40,795	-	-	35,40,795	-	-	-	35,40,795	-	-	35,40,795	Pending adjudication
16	SCN No. 42/2022-23 dtd 29.07.2022, issued by DGGI Bhubaneswar	9,48,80,189	-	-	-	9,48,80,189	-	-	9,48,80,189	9,48,80,189	-	18,97,20,378	Pending adjudication
17	SCN No. 02/DGGI SIIB(Ewb)/2023-24 /2022-23 dtd 08.06.2023, issued by DGGI Kolkata	17,76,20,606	-	-	-	17,76,20,606	-	-	17,76,20,606	17,76,20,606	-	35,52,50,212	Pending adjudication
18	SCN No DGGIBBN/GST/3548/2021-Gr. S/6542 dtd 06.12.2023, issued by DGGI Chennai	4,31,25,942	-	-	-	4,31,25,942	-	-	4,31,25,942	4,31,25,942	-	8,62,51,884	Pending adjudication
TOTAL		1,54,84,60,057	45,15,719	8,41,50,360	1,01,98,93,898	1,13,23,10,514	1,70,80,723	-	1,45,98,32,869	1,13,23,10,514	1,70,80,723	2,60,92,24,106	

8.2.4 The Petitioner Companies have filed an affidavit in reply to the report filed by the Assistant Commissioner GST & Central Excise, Keonjhar Division ('GST Authority') stating that a clarification was sent to the officer,

pursuant to which Letter dated 27.05.2025 was issued, revising Annexure A. In the revised Annexure A, the demands under Sr. Nos. 3,4,6,7,9 and 10 were deleted, and the total demand was accordingly revised to Rs.260.92. Regarding the discharge of GST demands pertaining to the Demerged Undertaking as on the Appointed Date, attention is drawn to the provisions of the Scheme, particularly Clause 5 (relating to the transfer and vesting of the Demerged Undertaking) Clause 11.2 (relating to treatment of taxes) and Clause 6 (relating to Transfer of Legal Proceedings of the Demerged Undertaking), the extract of which is reproduced below for reference:

"6. TRANSFER OF LEGAL PROCEEDINGS OF THE DEMERGED UNDERTAKING

6.1 All suits, appeals or other legal proceedings of whatsoever nature pending in relation to the Demerged Undertaking on or before the Effective Date, as decided by the Demerged Company and the Resulting Company, shall not abate or be discontinued or be in any way prejudicially affected by reason of the Scheme or by anything contained in this Scheme, but shall be continued and enforced by or against the Resulting Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Demerged Company."

8.2.5 The Petitioner Companies have stated that upon the scheme being sanctioned by the Tribunal, any crystallised GST liabilities of First Petitioner Company (i.e. Thriveni Earthmovers Private Limited Demerged Company) pertaining to the Demerged Undertaking as on the Appointed Date shall be treated as the liabilities of Thriveni Earthmovers and Infra Private Limited

(i.e. Resulting Company), Thriveni Earthmovers and Infra Private Limited (i.e. Resulting Company) shall meet, discharge, and satisfy such GST liabilities in full, as if they were its own liabilities; and all proceedings whether continued or initiated against the Demerged Company pertaining to the MDO Business (i.e. Demerged Undertaking) shall be defended by the Demerged Company at the cost of and on behalf of the Resulting Company.

B. GUNTUR DIVISION

8.3.1 The Chief Commissioner State Tax (Guntur district) office has sent a report vide notice no. CCST Ref. no. SSC-II/NCLT-01-20205 dated 20.05.2025, wherein it is stated that the Petitioner Company has filed three Writ Petitions before the Hon'ble High Court. The first, W.P. No. 14451 of 2020, challenges VAT arrear demands amounting to ₹9,64,45,982/-, in which a complete stay of the demand has been granted by the Hon'ble High Court. The second Writ Petition, W.P. No. 21516 of 2023, pertains to GST arrear demands aggregating to ₹20,27,09,394/-, wherein the Hon'ble High Court of Andhra Pradesh has granted a conditional stay, subject to the deposit of 50% of the disputed tax amount, which the Petitioner has duly complied with. The third Writ Petition, W.P. No. 2708 of 2024, pertains to Central GST arrear demands of ₹4,46,58,438/-, wherein the Hon'ble High Court has granted stay subject to

the deposit of 10% of the disputed amount, which has also been deposited by the Petitioner.

8.3.2 The Petitioner Companies have filed an affidavit in response to the report filed by Office of the Chief Commissioner of State tax stating that upon the Scheme being sanctioned by the Tribunal and becoming effective, any crystallised GST liabilities of First Petitioner Company (i.e. Thriveni Earthmovers Private Limited -Demerged Company) pertaining to the Demerged Undertaking as on the Appointed Date shall be treated as the liabilities of Thriveni Earthmovers and Infra Private Limited (i.e. Resulting Company) and Thriveni Earthmovers and Infra Private Limited (i.e. Resulting Company) will meet, discharge, and satisfy such GST liabilities in full, as if they were its own liabilities.

9. VALUATION REPORT

9.1 The Petitioner Companies have filed Valuation Report obtained from **Shri. Harsh Chandrakant Ruparelia**, Registered Valuer. The said valuation report is placed as ***Annexure A7*** at ***Page 408-421*** of the Petition typeset. The Approach and Methodology Valuation Analysis of the Independent valuer is extracted hereunder for reference.

> *5.4 The Scheme provides that the consideration be discharged by issue of 9.50% Redeemable Preference Shares ("RPS") having face value of Rs. 100 (Indian Rupees One Hundred) each of the Resulting Company. Considering the proposed terms of the Preference Shares to be issued pursuant to the demerger of the*

Demerged Undertaking of TEMPI into TEIPL, and on the premise that the Company shall be in a position and will have the requisite funds to discharge the coupon and redemption amount on the RPS, the face value of preference shares may be considered as fair for the determination of the share entitlement ratio under the Scheme.

5.5 In light of the above and on consideration of all the relevant factors and circumstances as discussed and outlined hereinabove earlier in this report (including disclaimer and exclusions given below), in my opinion, I recommend that the share entitlement ratio for the proposed Demerger of the Demerged Undertaking from the Demerged Company into the Resulting Company, would be fair and reasonable under each of the scenario:

Particulars	Value per share of the Demerged Undertaking (in Rs.)	Value per RPS of the Resulting Company (in Rs.)	Share Entitlement Ratio (rounded off)
For equity shareholders of the Demerged Company	**2,815.83** *(Refer Annexure A)*	**100.00**	282 (Two Hundred and Eighty Two) fully paid-up RPS of Rs. 100/- each of TEIPL shall be issued and allotted for every 10 (Ten) equity share of Rs. 100/- each held by the shareholders of TEMPL

The Share Entitlement Ratio as provided hereinabove with respect to the proposed Scheme has been rounded off to nearest integer, wherever relevant.

10. ACCOUNTING TREATMENT

10.1 The Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and certified that the Scheme is in the confirmatory with the Accounting

Standards prescribed under Section 133 of the Companies Act, 2013. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Demerged and Resulting Company are annexed to the Petition (CP/CAA/20/CHE/2025) as ***Annexure A15(a) and A15(b)*** at ***Page 725-735.***

11. OBSERVATIONS OF THIS TRIBUNAL

11.1 It is noted from the Scheme that the tenure of the Redeemable Preference Shares is fixed at six years.

11.2 After analysing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as ***Annexure A1*** at ***"Page No. 19-43"*** of the Company Petition (CP/CAA/20/CHE/2025) typeset as well as the prayer made therein**.**

11.3 Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being

taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

11.4 While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

12. THIS TRIBUNAL DO ORDER:

(i) That all properties, right and interest of the Demerged Undertaking shall, pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Resulting Company.

(ii) That all the rights, liabilities, properties, title and interest of the Demerged Undertaking shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become

the rights, liabilities, properties, title and interest of the Resulting Company.

(iii) That in so far as any assets forming part of the Demerged Undertaking is concerned, the Encumbrances over such assets, to the extent they relate to any loans or borrowings or debentures or other debt or debt securities of the Remaining Business, shall, as and from the Effective Date, without any further act, instrument or deed, stand released and discharged and shall no longer be available as Encumbrances in relation to those liabilities of the Demerged Company pertaining to the Remaining Business (and which shall continue with the Demerged Company). In so far as the existing Encumbrances in respect of the loans and other liabilities relating to the Remaining Business are concerned, such Encumbrances shall, without any further act, instrument or deed be continued with the Demerged Company, only on the assets relating to the Remaining Business and the assets of the Demerged Undertaking shall stand released there from.

(iv) That any statutory licenses, permissions or approvals or consents held by Demerged Company required to carry on

operations of the Demerged Undertaking shall stand vested in or transferred to Resulting Company without any further act or deed, and shall be appropriately mutated by the statutory authorities concerned therewith in favour of Resulting Company

(v) That the Appointed date for the Scheme shall be **1st April 2025** as mentioned in clause 1.2 of Part I the Scheme itself. Further the Appointed date is within one year from the date of filing of Application.

(vi) That the Resulting Company shall without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Clause 12 the Scheme herein the shares in the Resulting Company to which they are entitled under the said Scheme.

(vii) That all proceedings now pending by or against the Demerged Undertaking be continued and enforced by or against the Resulting Company.

(viii) That contracts, deeds, bonds, agreements and other instruments relating to the Demerged Undertaking shall

continue in full force and effect against or in favour of Resulting Company and may be enforced effectively by or against Resulting Company.

(ix) That all the employees of the Demerged Company employed in the Demerged Undertaking in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Resulting Company without any break or interruption in their service.

(x) That the Resulting Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company after setting off the fees paid by the Demerged Company.

(xi) That the Demerged Company and the Resulting Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so

delivered, the Demerged Undertaking shall be deemed to transferred.

(xii) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

13. Accordingly, the Company Petition **CP/CAA/20/CHE/2024** stand **allowed** on the aforementioned terms.

-Sd-	**-Sd-**
VENKATARAMAN SUBRAMANIAM	**SANJIV JAIN**
MEMBER (TECHNICAL)	MEMBER (JUDICIAL)

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